BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Staff Consumer Services Panel

Chelsea Kruger
Utility Analyst 2

Adam Polmateer
Utility Consumer Assistance
Specialist 4

Magen Bauer
Utility Analyst 1

Jessica Phalen
Utility Analyst 1

Office of Consumer Services
State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Please identify the members of the Staff Consumer Services Panel and provide their business address.

A. The Panel includes Chelsea Kruger, Adam Polmateer, Magen Bauer, and Jessica Phalen. Our business address is Office of Consumer Services, New York State Department of Public Service, 3 Empire State Plaza, Albany, New York 12223-1350.

Q. Ms. Kruger, what is your position at the Department?

A. I am employed as a Utility Analyst 2 in the Consumer Advocacy and Education Section of the Office of Consumer Services.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor of Arts degree in Public Communications with a minor in Spanish from The College of Saint Rose. Before my employment at the Department, I was a content editor at The Saratogian/Troy Record newspapers in Saratoga Springs and Troy, New York. I joined the Department in 2015, performing tasks associated with monitoring utility compliance with consumer protections and service requirements contained

in the Public Service Law and Public Service Commission regulations. My responsibilities include advocating on behalf of residential customers and evaluating utility customer service quality and low income programs. I am currently involved in various proceedings, including the management and operations audit of National Grid USA's New York electric and gas utilities, Case 18-M-0195.

Q. Have you previously testified before the Commission?

A. Yes. I have testified in several rate proceedings regarding New York State Electric and Gas and Rochester Gas & Electric in Cases 15-E-0283, 15-G-0284, 15-E-0285, and 15-G-0286; The Brooklyn Union Gas Company d/b/a National Grid (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) in Cases 16-G-0058 and 16-G-0059; Corning Natural Gas Corporation in Case 16-G-0369; and Niagara Mohawk Power Corporation d/b/a National Grid (Niagara Mohawk) in Cases 17-E-0238 and 17-G-0239. The subjects of my previous testimony include customer service performance incentives, uncollectibles,

customer service offices, low income programs, service terminations, credit card payments, and outreach and education.

Q. Mr. Polmateer, what is your position at the Department?

A. I am employed as a Utility Consumer Assistance Specialist 4.

Q. Please provide a summary of your educational background and professional experience.

A. I received an associate degree in Electrical Engineering Technology from Adirondack Community College and I have completed coursework in Electrical Engineering at the SUNY Institute of Technology in Utica, New York. My professional experience was gained through my 13 years of employment with the Department. During that time, I served as a supervisor overseeing operations in the call center, an analyst, a staff trainer and an Informal Hearing Officer.

Q. Mr. Polmateer, please briefly describe your current responsibilities at the Department.

A. I perform tasks associated with monitoring utility compliance with consumer protections and access to service requirements contained in the

Public Service Law and Commission regulations. My responsibilities include advocating on behalf of residential consumers, analyzing customer complaints, supervising staff in the Retail Access unit and monitoring utility Economic Development programs. I am currently involved in the Suez Water rate proceeding, Case 19-W-0168.

Q. Have you previously testified before the Commission?

A. Yes, I have testified regarding Consolidated Edison of New York, Inc. in Cases 19-E-0065 and 19-G-0066.

Q. Ms. Bauer, what is your position at the department?

A. I am employed as a Utility Analyst 1 in the Consumer Advocacy Section of the Office of Consumer Services.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor of Arts degree in Interdepartmental Studies from The College of Saint Rose in Albany, New York. Before my employment at the Department, I was employed at

the New York State Office of the Attorney General, and the New York State Department of Motor Vehicles prior to that. I joined the Department in 2017. My responsibilities include advocating on behalf of residential customers and helping to ensure they are appropriately considered in rate cases, Department policy initiatives, and other proceedings.

Q. Have you previously testified before the Commission?

A. Yes. I have testified regarding St. Lawrence Gas Company in Cases 18-G-0133 and 18-G-0140. The subjects of my previous testimony include service agreement terms for residential customers, customer service quality performance metrics, and outreach and education.

Q. Ms. Phalen, what is your position at the Department?

A. I am employed as a Utility Analyst in the Retail Access section of the Office of Consumer Services.

Q. Please state your educational background and professional experience.

A. I received a Bachelor of Arts degree in

Psychology with a minor in Philosophy from the State University of New York at Albany. Before my employment at the Department, I was employed in the customer service industry. I joined the Department in 2016, performing tasks associated with monitoring energy service company (ESCO) compliance with consumer protections and service requirements in the Public Service Law and Public Service Commission regulations. My responsibilities include advocating on behalf of residential customers and monitoring ESCO compliance with the Commission's Uniform Business Practices.

Q. Have you previously testified before the Commission?

A. Yes. I have testified regarding Orange & Rockland Utilities, Inc. in Cases 18-G-0068 and 18-E-0067. The subjects of my previous testimony include electronic deferred payment agreements and off-cycle enrollment software.

Q. What is the purpose of the Panel's testimony in these proceedings?

A. We are responding to KEDNY and KEDLI's proposals to: upgrade their Customer Information System

(CIS); maintain their existing Customer Service Quality Program (CSQP); update the Energy Affordability Program bill discount levels, budget and consolidate the number of tiers; maintain an incentive mechanism for reducing residential service terminations and uncollectibles; socialize the costs of credit/debit card transaction fees; implement electronic deferred payment agreements; renovate KEDNY's Pitkin Avenue customer office in Brooklyn; hire an analyst for the Companies' Energy Affordability Program; and adjust economic development programs.

Q. Did you review the Companies' proposals in the Shared Services Panel testimony?

A. Yes, we reviewed the proposals listed above.

Q. In your testimony, will you refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes. We will refer to, and have relied upon, several responses provided by the Companies to Information Requests (IR), which are contained within Exhibit___(SCSP-1). We will refer to these responses by the designation given to them

during discovery, e.g., DPS-123.

Q. Have you prepared any exhibits in connection with your testimony?

A. Yes, we are sponsoring three exhibits.

Q. Would you briefly describe each exhibit?

A. Exhibit___(SCSP-1) contains the Companies' responses to Staff interrogatories we have relied upon. Exhibit___(SCSP-2) contains the Companies' current Customer Service Quality Program, as well as Staff's proposed modifications. Exhibit___(SCSP-3) contains the Companies' current Terminations and Uncollectibles Mechanism, as well as Staff's proposed modifications.

Customer Information System (CIS)

Q. Explain what the Companies currently use as their customer information system.

A. Both KEDNY and KEDLI use legacy customer information systems. KEDNY currently uses the Customer Relations Information System (CRIS), while KEDLI and Niagara Mohawk currently use the Customer Service System (CSS). As the Companies stated in their Shared Services Panel initial

pre-filed testimony, CRIS was implemented at KENDY 30 years ago and Niagara Mohawk first implemented CSS 20 years ago, with KEDLI converting to CSS in December of 2013, as stated in DPS-983.

Q. What do the Companies propose in testimony?

A. The Companies propose in the Shared Services Panel direct testimony to replace both CRIS and CSS with a single customer information system, in this case, SAP, across all of National Grid's US electric and gas operating companies.

Q. Why do the Companies propose to replace their existing customer information systems?

A. In both cases, the Companies cite several issues that make the systems outdated and difficult to support. On page 40 of the Shared Services Panel's direct testimony, the Companies state that, "(n)either system can support customer's escalating expectations or increasingly sophisticated billing needs, nor can they easily support services on web, mobile, and other customer and third-party channels." In addition, both CSS and CRIS have seen significant increases in high and critical

priority failures and outages over the past three years, as stated in the Companies' IR response to DPS-617.

Q. Did KEDNY and KEDLI identify any alternatives to a CIS replacement?

A. Yes, the Companies identified four options, in their response to IR DPS-354, the first is to continue to operate the legacy CRIS and CSS platforms; the second is to consolidate legacy systems; the third is outsourcing; and the forth is total technology replacement.

Q. Did the Companies conduct a cost-benefit analysis of each option?

A. No. The Companies conducted a cost analysis of the total replacement and of the legacy system consolidation, per their response to DPS-354. Consolidating the legacy systems to CSS would cost approximately $70 million but would not enable "future customer services and capabilities" or address regulatory expectations. Yet, the Companies prefer the total system replacement and provided anticipated benefits in the Shared Services Panel testimony and in Exhibit___(SSP-5) and

Exhibit___(SSP-6).

Q. Did the Companies begin a process to transition KEDNY's legacy CRIS platform to CSS prior to the new CIS initiative?

A. Yes. According to the Companies' response to DPS-974, the KEDLI customer data was migrated to CSS in December 2013 at a cost of $28.4 million, allocated solely to KEDLI customers. An additional project was initiated to move KEDNY from CRIS to CSS, as CSS was the targeted customer platform at that time; however, after design and implementation had begun, the project was cancelled in April of 2015 based upon a review of the approach, timing, and strategic priorities. According to Attachment 3 of the Companies' response to DPS-974, $20.9 million had already been spent on the now cancelled conversion. The Companies state that this expense was written off and not recovered from customers in rates.

Q. What are the costs associated with the CIS replacement project for KEDNY and KEDLI?

A. The total costs projected for the Rate Year are $19 million in capital expenditures and $10.5

million in operating expense for KEDNY and $8.9 million in capital expenditures and $4.8 million in operating expense for KEDLI, according to the Companies' response to DPS-872. Additional cost details, such as Service Company Rent Expense, are discussed in the Staff Information Technology Panel testimony.

Q. What is the Companies' proposed in-service date for the new CIS?

A. According to the Companies' Shared Services Panel and Information Technology Panel testimonies in Corrections and Updates, the start date for the CIS replacement project has been extended from September 2019 to April 2020, which delayed the in-service date from April 1, 2022, to October 1, 2022, for both KEDNY and KEDLI.

Q. Does this delay in the in-service date also delay the retirement of the legacy systems?

A. Yes. In response to DPS-966, the projected retirement for CRIS is now October 2022, and CSS is now November 2026.

Q. Are there costs associated with this delay in retirement of the legacy systems?

A. Yes. According to the Companies' response to DPS-966, operational costs associated with the legacy systems will continue for an additional six months. At this time, the six-month extension is estimated to result in operating benefits of $0.472 million for KEDNY and $0.219 million for KEDLI not being realized.

Q. What does the Panel recommend regarding the CIS replacement?

A. Given that the Companies continue to refine costs and key project dates, as further discussed below, we recommend the Companies continue to develop the project timeline, analyze vendor costs, and continue with vendor selection, then file a petition with the Commission for approval of this project and associated costs. We also recommend several adjustments to the Rate Year expenses that are discussed in the Staff Information Technology Panel testimony.

Q. Why is the Panel recommending an additional filing?

A. Our position is that the Companies need to further develop their plans for implementing the

CIS project because this project has not been fully analyzed and vetted through National Grid's internal approval process, as stated in the Companies' IR response to DPS-311. Additionally, the Companies have already extended the start date for the CIS project from September 2019 to April 2020, as stated in the Shared Services Panel corrections and updates testimony. We are concerned the schedule may continue to be adjusted as National Grid finalizes vendor contracts and implements other information technology projects. We recommend the Companies continue to refine the CIS replacement strategy and their cost estimates prior to Commission approval.

Q. Why is the Panel concerned with the implementation timeline for the CIS project?

A. National Grid US has previously implemented large IT projects that have slipped in the implementation schedule and/or gone overbudget. For example, National Grid's New York companies previously replaced and upgraded multiple legacy systems with SAP, an effort identified as the US Foundation Program, or USFP. According to an

audit performed and submitted to the Commission by NorthStar Consulting Group in July 2014, filed in Case 13-G-0009, sanctioning for the USFP was requested in June 2009 for $291 million with a targeted go-live date of December 2011. The primary objective was to consolidate systems onto a single SAP enterprise resource planning, or ERP, platform to replace functions previously delivered by Oracle and PeopleSoft ERP suites. The sanction amount and go-live date were adjusted several times, with the final sanctioning request occurring in 2012 for $383.8 million with an assumed launch date of October 1, 2012. National Grid estimated additional fees for licensing, bringing the total estimate to approximately $393 million. After additional time modifications, the go-live date was November 5, 2012, shortly after Superstorm Sandy, as stated in NorthStar's audit.

Q. What did the NorthStar Audit find regarding this implementation?

A. NorthStar found that National Grid did not benefit from the rest of the utility industry's SAP lessons learned, chose an integrator with

little to no experience with U.S. utilities, did not rely upon consultation with appropriate personnel to determine the needs the software should meet, and, in the push to go live, allowed noted issues and risks to be overlooked. The implementation led to issues in several areas, including accounting, payroll, and supply chain. In addition, the Audit discovered that the National Grid Service Company had not operated under a detailed budget for more than a year, which limited the ability of management to make informed decisions.

Q. How were the issues with the 2012 implementation addressed by National Grid Service Company?

A. According to the NorthStar Audit, National Grid launched the “USFP Stabilization Program”, bringing in hundreds of contractors to address the issues related to payroll, supply chain, and financial close. Further, National Grid accepted financial responsibility for the USFP/SAP issues and reached agreements with unions representing the employees and the Attorneys General of New York and Massachusetts to pay almost $12 million to employees as a

result of payroll issues. In September 2013, the estimated cost to stabilize SAP was approximately $30 million a month, according to NorthStar's Audit on page IV-7. At the time the Audit was submitted, costs for the entire USFP program were estimated at $945.1 million, as stated on pages IV-10 and IV-11 of NorthStar's Audit. Following the Audit, National Grid submitted an Implementation Plan on November 3, 2014, agreeing to NorthStar's SAP recommendation with modifications; specifically, National Grid filed a report with the Public Service Commission to, among other things, ensure stabilization costs associated with this implementation were financed by shareholders and not passed on to customers.

Q. Do you have additional specific concerns stemming from the USFP and the 2014 Audit?

A. Yes. The Companies presented the SAP business case justification in the testimony of the Information Services Panel in Cases 12-E-0201 and 12-G-0202. The Audit not only found the testimony "inconsistent with National Grid's most recent USFP cost projections," but also

stated the lack of clear definitions and cost tracking made it difficult to determine allowed costs, as discussed on page IV-19. We are concerned that while the Companies can draw from lessons learned, the costs for the CIS project presented in this case are very preliminary, and even at the time the Audit was submitted in 2014 the Companies continued to adjust the costs from the 2012 implementation and related stabilization.

Q. How did the Companies address this issue in testimony?

A. The Companies' Information Technology Panel testimony states the 2012 implementation was challenging, but that lessons learned from that experience would help in moving forward with future projects. Although this discussion was in respect to a different SAP implementation called S/4 HANA, National Grid is generally "planning for ample upfront review and exploration to determine the optimum solution to be implemented …[and] bringing together all change programs such as CIS and S/4 HANA into a central transformation team to better implements

and coordinate these programs."

Q. Do you have additional concerns related to the CIS replacement?

A. Yes. Because the CIS project has already been delayed six months due to the S/4 HANA upgrade, which is still on-going, we are concerned further delays will result as the Companies start the S/4 HANA "design phase" as described in the Companies' Information Technology Panel. As stated in the Companies' response to DPS-988, the new CIS would "likely be the first deployment of S/4 HANA" at National Grid; however, the Companies state "there are benefits in preparing certain foundational elements in S/4 HANA in parallel with CIS. National Grid is currently considering those benefits as it determines the best program sequencing option." Based on the information provided by the Companies, this Panel's position is that the S/4 HANA project should be further along in design before we evaluate the CIS project's Rate Year costs and recommend the Commission take any action.

Q. Does the Panel have similar concerns with other

ongoing National Grid initiatives?

A. Yes, we are concerned with the Companies' handling of other IT projects, which have gone beyond the estimated implementation dates. National Grid continues to implement the Gas Business Enablement (GBE) project, which as described in the Staff Information Technology Panel testimony, struggles to meet project milestones on time and on budget. Further, in the direct testimony of the Companies' Shared Services Panel in Cases 16-G-0058 and 16-G-0059, the Companies proposed load balancing to allow them to shift call volume by transferring among National Grid's New York State call centers and in-state vendors, with the goal of reducing customer hold times and improving a customer's experience, as provided in the Companies' response to IR DPS-934.

Q. What was the proposed timeline for the call load balancing project's implementation?

A. In KEDNY/KEDLI's Shared Services Panel testimony for the 2016 cases, the Companies' stated the anticipated implementation of the technology upgrades to allow call load balancing was April

2019.

Q. Did the implementation follow this schedule?

A. No, it did not. In response to DPS-934, the Companies stated the technology necessary for call load balancing is not in place, and the timeframe for full load balancing capability is now, at the earliest, the last quarter of 2020.

Q. Why is this a concern in relation to the CIS replacement?

A. Looking at the three projects discussed above, the Companies have demonstrated a troublesome pattern of missed implementation dates and budget overruns when implementing IT projects. We are extremely concerned that the CIS replacement project will be delayed and that such a delay will negatively impact customers, through either rate impacts or through the incorporation of erroneous customer usage data and billing data. The Companies' continued failure to achieve the stated timeline and budget for these projects evidences to us that the Companies' should not recover costs from customers for the CIS as this time and that protections must be put into place to safeguard

customers from lengthy delays and exorbitant cost overruns.

Q. Due to the lack of information and cost certainty with the CIS project, can the Panel make recommendations to protect customers?

A. No, we cannot at this time.

Q. What has Staff previously recommended regarding customer protections for other IT projects with other utilities?

A. In Case 17-G-0239, the Staff Information Technology Panel proposed, and the Commission imposed, customer protections on the Gas Business Enablement project for Niagara Mohawk, such as key performance indicators, downward-only reconciliation and quarterly reporting. These protections allow Staff to monitor the utility's progress.

Customer Service Quality Program

Q. What is the purpose of a Customer Service Quality Program (CSQP)?

A. CSQPs help to align shareholder and customer interests by providing earnings consequences related to the quality of service provided by a

utility to its customers. Currently, these programs are in effect for most major, investor-owned energy utilities in New York that are regulated by the Commission. The metrics that make up the CSQP link earnings directly to a utility's performance on specific measures of customer service.

Q. Why are CSQPs imposed by the Commission?

A. As monopoly providers of utility delivery service, utilities do not have a profit-based incentive to provide acceptable levels of customer service as customers cannot select another utility based on the quality of service provided, however, obtaining quality service is extremely important to customers and is in the public interest. A CSQP is needed to establish an incentive for each Company to provide satisfactory levels of customer service performance.

Q. Please describe how Staff reviews the Companies' CSQP performance.

A. The Companies submit reports to the Commission detailing performance on a quarterly basis. Staff reviews these reports, whereby Staff and

the Companies can analyze trends and, when necessary, employ strategies to, at a minimum, maintain current satisfactory levels of customer service on an ongoing basis. At the end of the calendar year, the Companies submit an annual performance report, and applicable revenue adjustments are determined. For both KEDNY and KEDLI, the potential adjustments are negative only adjustments for this program. Any adjustments are allocated into deferral accounts, and any balances in these accounts are addressed in the next rate case to benefit customers.

Q. Are there any additional steps Staff is taking to review this self-reported data from the Companies?

A. Yes. In addition to the review process discussed above, Staff is in the process of refining additional procedures to further review the results for the Companies' self-reported data. Adding another layer of review to this data will help both Staff and the Companies monitor performance and consistently improve customer service and satisfaction.

Q. What components of the CSQP are currently in effect for KEDNY and KEDLI?

A. As shown in Exhibit___(SCSP-2), the current CSQP measures for both Companies are: 1) PSC Complaint Rate per 100,000 customers; 2) Residential Customer Transaction Satisfaction, measured through a customer satisfaction survey; 3) Percentage of Calls Answered within 30 Seconds; and 4) Percentage of Adjusted Customer Bills. As stated above, there are only negative revenue adjustments (NRAs) associated with these measures.

Q. Do the Companies file reports detailing their performance?

A. Yes. The Companies file quarterly and annual Service Quality Program reports with the Secretary to the Commission under Cases 16-G-0058 and 16-G-0059.

Q. Have the Companies achieved their customer service performance targets in the last three calendar years?

A. Yes, according to the data filed with the Commission, which has been reviewed by Staff. In response to DPS-613, the Companies state that

both KEDNY and KEDLI have met or exceeded all targets in the last three years.

Q. Do the Companies propose any modifications to these CSQP measure targets or NRAs?

Q. No. The Companies propose to continue the established program with no change in the targets or the revenue adjustments.

Q. Do you recommend continuing the current performance program?

A. Yes, but with modifications to the current targets. Our proposed modifications are intended to better reflect the Companies' current operating environments and continue to provide a financial incentive to maintain satisfactory customer service.

Q. What modifications does the Panel recommend?

A. We recommend modifications to the targets of the following measures of the Companies' CSQP: PSC Complaint Rate, Residential Customer Transaction Satisfaction, Percentage of Calls Answered within 30 Seconds, and Percentage of Adjusted Customer Bills. The specific modifications we are recommending to these measures are shown in Exhibit___(SCSP-2).

Q. Why are you recommending adjusting the targets of these measures?

A. Both KEDNY and KEDLI have met or exceeded all customer service targets that were in place at the time in the last three calendar years. This performance indicates that the Companies have established a history of providing satisfactory customer service which their customers have come to expect. The Commission has generally assumed that the historical average represents a satisfactory level of service, and adopted CSQP targets to require NRAs if service degrades to a level two standard deviations removed from the utility's actual average performance. With this performance in mind, the measures should be updated regularly to properly reflect and improve upon the operating environments based on a three-year historic average. In addition, customers pay for and have come to expect this level of customer service in rates, and the service quality targets should be updated on a regular basis to protect customers' interests.

Q. Do you recommend setting new targets using this standard methodology?

A. Yes, we recommend utilization of the typical methodology, as discussed above, to reset the targets for three of the four measures in instances that the calculation yields a more stringent target than is currently in place. We do not recommend this methodology for the PSC Complaint Rate, as discussed below.

Q. Do you recommend any other adjustments to the targets?

Q. Yes. Regarding the PSC Complaint Rate, we recommend adjusting the target to better reflect the operating environment of these utilities as well as the other major utilities in New York State. As shown in Exhibit___(SCSP-2), these targets continue to provide an incentive against declining customer service while presenting standards that are historically achievable for the Companies.

Q. What do you propose regarding the customer satisfaction measure?

A. This measure should continue with revised targets based on the Companies' recent performance. For KEDNY, we recommend the minimum target be adjusted from greater than or

equal to 84.8 percent to greater than or equal to 86.7 percent, calculated using the methodology discussed above and KEDNY's three-year historical data. FOR KEDLI, we recommend the minimum target be adjusted from greater than or equal to 83.4 percent to greater than or equal to 85.1 percent, calculated in the same manner as KEDNY.

Q. Why do you recommend these changes to customer satisfaction level?

A. Customer service and satisfaction should never degrade, and the current targets leave significant room for customers to be less satisfied with the Companies' level of service with no financial impact to the Companies. In order to remain relevant, the targets associated with this measure need to reflect the current operating environment and associated customer service levels.

Q. What do you propose regarding the Percentage of Calls Answered by a Representative Within 30 Seconds measure?

A. For KEDNY, we do not recommend an adjustment to the target. Using the typical methodology

discussed above, the revised target would allow KEDNY's performance to drop below the current threshold. In order to maintain the efficacy of this metric while considering KEDNY's historical performance, we recommend the minimum target remains greater than or equal to 60.6 percent. For KEDLI, we recommend the minimum target be adjusted upward from greater than or equal to 62.2 percent to greater than or equal to 65.8 percent.

Q. Why do you recommend this change to the Percentage of Calls Answered Within 30 Seconds level for KEDLI?

A. A large component of effective, satisfactory customer service is communication between a utility company and its customers. This metric measures a channel of communication, and utilities should constantly strive to improve customer call hold times and the associated levels of customer satisfaction. While both KEDNY and KEDLI have met the targets for this measure for the past three years, our recommendations serve to incent the Companies to, at a minimum, maintain the standard that has

been set and relayed to customers through performance. In addition, the Joint Proposal authorized by the Commission in Cases 16-G-0058 and 16-G-0059 allowed KEDNY and KEDLI to transfer calls among National Grid's New York call centers and in-state third-party vendors to enhance customer service. While this initiative is not yet in place, the Companies' response to DPS-934 stated the technology is expected to be in place for full call load balancing in the final quarter of 2020, which would provide additional resources to the Companies during periods of high call volume and possibly affect the Companies performance on this metric.

Q. What does the Panel propose regarding the Percentage of Adjusted Bills measure?

A. This measure should also continue with modifications. In KEDNY, the historical performance submitted by the Company for this measure has significantly exceeded the target. We recommend the target be adjusted from a minimum of less than or equal to 1.69 percent to less than or equal to 0.61 percent. We also recommend the subsequent targets be adjusted, as

shown in Exhibit__(SCSP-2). For KEDLI, we recommend adjusting the target from the current minimum of less than or equal to 1.69 percent to less than or equal to 0.40 percent. We also recommend adjusting the subsequent targets, as show in Exhibit __(SCSP-2).

Q. Why do you recommend these changes to the Percent of Adjusted Bills level?

A. Accurate billing is a fundamental part of effective service that utilities provide to customers. Both KEDNY and KEDLI have significantly exceeded the current targets in the last three calendar years; as such, the current targets would allow for a substantial drop in billing accuracy with no financial revenue adjustment through this measure. In order to maintain the efficacy of this measure, the targets should reflect the current operating environment. Our recommended targets allow this measure to continue to have its intended meaning to the Companies and protect the interest of customers.

Q. What do you propose regarding the PSC Complaint Rate for both Companies?

A. We recommend the minimum target be lowered to less than or equal to 1.0 from the current minimum of less than or equal to 1.1. While both Companies have exceeded the minimum PSC Complaint Rate target of less than or equal to 1.1 for the past three calendar years, the methodology discussed above for the other measures in the CSQP would yield a PSC Complaint Rate of 0.67 for KEDNY and 0.72 for KEDLI. We do not propose using this methodology as it produces a PSC Complaint Rate that we consider to be too stringent at this time. The lowest target currently in effect at a New York utility is 1.0; therefore, we recommend the Commission adopt a target of 1.0 as we consider this to be fair and reasonable and in line with the other New York utilities while also being more reflective of their current operating environments.

Q. Under the Panel’s recommended changes to the targets, would either Company have incurred NRAs in the past three years?

A. Yes. In 2016, KEDNY would have missed the target for the Percentage of Calls Answered

within 30 Seconds; however, we are not recommending any modification to this target from its current level, which was established in the 2016 Rate Case and went into effect in 2017.

Q. Do you propose to adjust the NRAs associated with the CSQP?

A. No, we do not propose any adjustments to the NRAs at this time.

Q. What should be the term of the CSQP?

A. The CSQP should continue until modified by the Commission. We also recommend the Companies continue to submit quarterly and annual reports.

Terminations/Uncollectibles Incentive Mechanism

Q. Please explain the incentive mechanism associated with terminations and uncollectible expense.

A. The existing terminations and uncollectibles mechanism offers the Companies the opportunity to earn a positive revenue adjustment (PRA) by reducing residential customer terminations and/or uncollectibles.

Q. How do the Companies define the purpose of this metric in testimony?

A. Beginning on page 36 of the Shared Services Panel's direct testimony, the Companies state, "(t)he performance measure is intended to provide an incentive for the Companies' to limit the number of terminations and to address the Commission's interest in utilities pursuing alternatives to terminations."

Q. Do you agree with this description?

A. Not entirely. While finding alternatives to service termination and reducing residential terminations should be among the utilities' goals, this definition does not fully capture the purpose behind this mechanism. In KEDLI and KEDNY's previous rate cases, 16-G-0058 and 16-G-0059, the Staff Consumer Services Panel testified that, "(t)he Companies should be encouraged to alter their practices to reduce residential service terminations for nonpayment while at the same time not increasing uncollectibles." The incentive is in place to encourage utilities to find effective ways to lower terminations while not unduly impacting uncollectibles. The goal is to achieve an appropriate balance, not to simply lower one

without mitigating the potential harm caused by the increase to the other.

Q. What are the current performance thresholds and associated revenue adjustments for terminations and uncollectibles for KEDNY?

A. KEDNY can earn a PRA of $1.260 million each Rate Year, based on its Calendar Year performance, if the annual number of residential customer terminations is no greater than 34,638 and the amount of residential bad debt, or uncollectibles, is less than or equal to $12,494,661, as described in the Companies' Exhibit___(SSP-3), Schedule 4. KEDNY can earn a partial PRA of $0.540 million during each Rate Year if either the number of residential customer terminations or uncollectibles is at or below these established threshold targets, and the other is at or below the average target: 37,916 residential terminations or $16,119,628 in uncollectibles. As this incentive is positive only, there is no NRA if KEDNY fails to meet these targets.

Q. What are the current performance thresholds and associated revenue adjustments for terminations

and uncollectibles for KEDLI?

A. KEDLI can earn a PRA of $0.840 million during each Rate Year, based on the calendar year performance, if the annual number of residential customer terminations is no greater than 12,470 and the amount of residential uncollectibles is less than or equal to $4,392,413, as shown in the Companies' Exhibit___(SSP-4), Schedule 4. KEDLI can earn a partial PRA of $0.360 million during each Rate Year if either the number of residential customer terminations or uncollectibles is at or below these threshold targets, and the other is at or below the average target: 13,647 residential terminations or $5,602,568 in residential uncollectibles. As this incentive is positive only, there is no adjustment if KEDLI fails to meet these targets.

Q. Describe how the current targets were calculated for the Terminations and Uncollectibles Incentive Mechanism.

A. As discussed in the Companies' Shared Services Panel testimony, the target for KEDNY was set using a standard deviation from the average of five years of data, which was collected from

seven years of data, with the high and low outliers omitted. As KEDLI did not have historical data prior to 2014 at the time the metric was established, the percentages from KEDNY were applied to the data that KEDLI did have available. These targets were adopted in Cases 16-G-0058 and 16-G-0059; as such, the Companies' performance was only measured for a potential PRA for calendar years 2017 and 2018.

Q. How have the Companies performed since this mechanism was established?

A. KEDNY earned the full positive incentive for both 2017 and 2018, as the Company met the threshold targets for both terminations and uncollectible expense. The Company provided the performance data in Exhibit___(SSP-3), Schedule 4; residential terminations were 29,157 in 2018, 31,563 in 2017, and 34,654 in 2016, while residential uncollectibles were $12,334,391 in 2018, $11,782,802 in 2017, and $11,590,867 in 2016. For KEDLI, a partial incentive was earned in both 2017 and 2018 for achieving the terminations target. The Company provided the performance data for this metric in

Exhibit___(SSP-4), Schedule 4; residential terminations were at 10,786 in 2018, 12,080 in 2017, and 13,765 in 2016, while residential uncollectibles were $5,035,650 in 2018, $5,419,497 in 2017, and $4,210,726 in 2016.

Q. Do the Companies recommend any modifications to this metric?

A. Yes, the Companies' propose a modification in the way KEDLI's targets are calculated. For KEDNY, the proposal is to continue the current method of calculation of taking seven years of data, removing the high and low outlier, and moving one standard deviation from the average of those five years of data to set the threshold target. For KEDLI, the Companies' proposal is to modify the method used in the last rate case by using the available four years of data with no outlier omission and moving one standard deviation from the four-year average to set the threshold target. The proposed changes to the targets are shown in Schedule 4 of the Companies' Exhibit___(SSP-3) and Schedule 4 of the Companies' Exhibit___(SSP-4).

Q. Additionally, do the Companies recommend any

adjustment to the PRAs associated with these metrics?

A. No. The Companies propose to continue the metric as a positive incentive-only measure with no change to the potential PRA amounts.

Q. Does the Panel agree with the Companies' proposed targets and calculation methods?

A. No, we do not.

Q. Please explain why you disagree.

A. While the Companies' recommended methodology was used to set the initial targets in Cases 16-G-0058 and 16-G-0059, a three-year historical average with no outliers removed yields a target that is more relevant to the current operating environment than the targets proposed by the Companies. In addition, using the same time period for all metrics helps to standardize how historical performance is viewed, and allows the targets for this metric to be based on more years that the measure was in place.

Q. Under the Companies' proposal, would the Companies have earned a PRA for this metric in the last three years?

A. KEDLI would have earned a partial PRA for the

performance in 2018 under the Companies' proposed target levels. KEDNY would not have earned a PRA under the Companies' proposed metrics for the last three years.

Q. What does this Panel recommend as the threshold target?

A. As shown in Exhibit___(SCSP-3), we recommend the threshold be set at one standard deviation from the three-year historical average: 2016, 2017, and 2018. For KEDNY, the rounded threshold targets would be 29,600 for residential service terminations and $11.6 million in uncollectible expense, and the rounded average targets would be 31,800 residential service terminations and $11.905 million in residential uncollectible expense. For KEDLI, the rounded threshold targets would be 11,000 for residential service terminations and $4.4 million in residential uncollectible expense, and the rounded average targets would be 12,300 terminations and $4.9 million in residential uncollectible expense. We also recommend the addition of a measure for arrearages, which is discussed further below.

Q. Under this Panel's recommendations, would the

Companies have earned a PRA for the residential terminations and uncollectibles mechanism in the last three years?

A. No, neither KEDNY nor KEDLI would have earned a PRA under our proposed targets within the last three years.

Q. Please explain why the Panel is recommending these targets if the Companies would not have achieved them with historic performance.

A. In addition to the reasons discussed above for tightening targets, this is a positive-only incentive. As such, the Companies have no potential for negative financial adjustments for failing to meet the mechanism's targets. Tightening the targets needed to achieve a PRA incents the Companies to strive to manage these measures more effectively. Doing business as usual, without striving for improvement, should not earn PRAs. The recommendations we set forth are in place to provide an incentive for the Companies to improve without penalty for continuing standard business practices. Furthermore, as discussed above, the purpose of this metric is not to simply lower terminations,

it is to lower terminations without increasing uncollectibles. The Panel's recommendations continue to encourage the Companies to achieve the goal of this measure.

Q. Please describe the Staff Panel's proposal for an additional metric under this mechanism.

A. In order for this mechanism to achieve the most benefit for customers through reduced terminations and uncollectible expense, we recommend the Commission implement an additional measure for the amount of dollars in residential arrearages.

Q. What is the amount of time allowed to lapse before a residential customer's arrears are written off as uncollectible expense?

A. According to the response to DPS-965, the approximate timeframe for a residential account to be written off for KEDLI is 90 days after a final bill is rendered, while KEDNY's timeframe for the same is 90 to 120 days after the final bill is rendered. The process is automated for both Companies, but exceptions are allowed for manual write-offs.

Q. Do the Companies currently report arrearage

data?

A. Yes. Both KEDNY and KEDLI provide monthly Collection Activity Reports on terminations, uncollectible expense, and arrears, which are filed in Case 91-M-0744. In addition, the Companies responded to DPS-989 with the total residential arrears in both dollar amounts and number of customers for each of the last five years for both KEDLI and KEDNY. While both Companies have been able to decrease terminations since this mechanism went into effect in 2017, allowing them to earn a PRA, arrearages have risen for both Companies in the same time period in both the number of customers in arrears and the total dollar amount.

Q. Please further describe the trend in the Companies' residential customer arrears.

A. For KEDNY, the total number of terminations has decreased every year from 2016 to 2018; at the same time, the total number of customers in arrears has risen from 140,598 in 2016 to 149,406 in 2017 and 156,871 in 2018, as provided in the Company's response to DPS-989. The total arrearage dollars also increased, from $47.6

million in 2016 to $50.3 million in 2017 to $55.3 million in 2018. For KEDLI, the total number of residential service terminations has also decreased every year from 2016 to 2018; however, similar to KEDNY, arrears have trended upward. The total number of customers in arrears in 2016 was 39,909 but increased to 40,056 in 2017 to 41,656 in 2018. The total dollar amount of arrears in KEDLI dropped from $19.9 million in 2016 to $18.3 million but rose again to $19.2 million in 2018. This mechanism was previously introduced to encourage New York's utilities to find ways to lower terminations without negatively affecting uncollectibles; in reviewing the data since the mechanism went into effect, the need for a more inclusive view of the collections practices as part of the measure has become apparent. The trend at both Companies in which residential arrears are rising every year is a risk that should be mitigated as the initiative to lower terminations continues.

Q. What is the Staff Panel's rationale for adding this measure to the current metrics?

A. Due to the growing arrearages and the potential impact of this trend on uncollectible expense and, therefore, on customers, we recommend adding a target for arrearages to the terminations and uncollectible mechanism to incent the Companies to balance these measures more effectively for the benefit of both customers and the utilities.

Q. What target levels does the Panel recommend for KEDNY?

A. Using the data provided by the Companies in DPS-989, we recommend using the average of the most recent three years of each measure for the average target and using that target to set the threshold target at one standard deviation removed from this three-year historical performance. Specifically, we recommend KEDNY earn a maximum PRA of $1.260 million if the following threshold targets are achieved: (1) residential service terminations of not more than 29,600 customers; (2) residential uncollectibles of not more than $11.6 million; and, (3) residential arrearages of not more than $47.9 million. As is currently done, KEDNY can

achieve a partial PRA if targets are met in part, as detailed in Exhibit___(SCSP-3).

Q. What targets does the Panel recommend for KEDLI?

A. Using the same data sources and methodology discussed above, we recommend KEDLI earn the maximum PRA of $.840 million if the following targets are achieved: (1) residential service terminations of not more than 11,000 customers; (2) residential uncollectibles of no more than $4.4 million and, (3) residential arrearages of not more than $18.5 million. As is currently done, KEDLI can achieve partial PRAs if targets are met in part, as detailed in Exhibit__(SCSP-3).

Q. Is the Panel recommending a change from the current PRAs associated with these metrics?

A. No, we do not recommend a change to the PRA amount associated with the existing measures, as established in Cases 16-G-0058 and 16-G-0059. As such, a maximum PRA of $1.26 million for KEDNY and $.840 million for KEDLI be associated with this incentive mechanism, with the addition of the measure for arrearages. Similar to what is currently done, the maximum PRA can be earned

if the Company achieves the threshold target of all three measures. If the Company achieves the threshold target of terminations and the other two measures are at or below the average target, the Company can earn a partial PRA, equal to $.540 million for KEDNY and $.360 million for KEDLI.

Q. Does this Panel recommend reporting requirements for this mechanism?

A. Yes. We recommend that the Companies continue to file with the Secretary to the Commission quarterly and annual customer service quality reports in these proceedings in order to demonstrate the Companies' performance relative to these updated and expanded goals. In addition, we recommend these reports include any updates on actions the Companies have taken to reach these goals. These reports will be reviewed by Staff and will allow both Staff and the Companies to assess the impact and effectiveness of this mechanism, and in tracking the Companies' performance in these metrics.

Q. Do you have any other recommendations regarding this incentive mechanism?

A. Yes. As we are recommending the addition of a third measure to incent the Companies to strive for better collections management while reducing terminations, we recommend referring to this mechanism in a more inclusive manner than allowed by the current "Terminations and Uncollectibles Mechanism." Specifically, we recommend this mechanism be referred to as the "Residential Collections Incentive Mechanism."

Electronic Deferred Payment Agreements

Q. What is a deferred payment agreement (DPA)?

A. According to the Home Energy Fair Practices Act (HEFPA), a DPA is a written agreement for the payment of outstanding charges over a specific period, signed by both the utility and the customer, or applicant for utility service. Prior to terminating service, utilities are required to make reasonable efforts to contact eligible customers or applicants by phone, mail, or in person for the purpose of offering a DPA, and to negotiate terms tailored to the customer's financial circumstances.

Q. How do the Companies currently offer DPAs to

customers?

A. The Companies' current options for a customer to enter into a DPA include mail, fax, email and walk-in offices.

Q. What is an electronic DPA?

A. An electronic DPA is a written DPA that is signed electronically by the customer. This DPA option provides customers with the opportunity to negotiate a DPA over the telephone and sign it electronically through a utility's website. The customer can then print the DPA and/or receive a hard copy in the mail from the utility.

Q. What value is provided by an electronic DPA?

A. Consistent with the intent of HEFPA, it provides customers with an additional option to enter into legally valid DPAs via electronic signature. This option makes it easier for customers to avoid disconnections or potential delays in restoring service and other unnecessary hardships associated with service termination. The electronic DPA can be more convenient for certain customers, and for those who prefer to sign electronically, its adoption

will expedite and streamline the DPA process.

Q. Do any other utilities currently offer electronic DPAs?

A. Yes. The Commission has authorized the implementation of electronic DPAs at several utilities, such as National Fuel Gas Distribution Corporation in Case 13-G-0016; Niagara Mohawk in Cases 17-E-0238, et al.; and Consolidated Edison Company of New York in Case 16-M-0501.

Q. Have the Companies submitted a proposal to offer electronic DPAs to their customers?

A. Yes.

Q. What is the Panel's recommendation regarding the Companies' electronic DPAs proposal?

A. We support the Companies' proposal because it is a more convenient option for customers who are applying for and implementing a DPA, however, we also recommend that the Companies submit, to the Secretary, quarterly reports on the status of electronic DPAs. We recommend the reports include, at a minimum, a comparison of electronic DPAs and paper DPAs, providing the following information for each type of

agreement: (1) the number of active DPAs at the beginning of the reporting period, and the total dollar amount; (2) the number of DPAs made during the reporting period, and the total dollar amount; (3) the number of DPAs reinstated during the reporting period, and the total dollar amount; (4) the number of DPAs defaulted during the reporting period, and the total dollar amount; (5) the number of DPAs satisfied during the reporting period, and the total dollar amount; (6) the number of active DPAs at the end of the period, and the total dollar amount; and (7) the percentage of DPAs in arrears more than 60 days, in both number and dollar amount. These data points correspond to information reported by all utilities for all DPAs contained in standard collection activity reports. In addition, we recommend the Commission require the Companies to include a summary of any customer inquiries and/or complaints received regarding electronic DPAs.

Q. When should the Companies file this information?

A. We recommend the Commission require the Companies to file the reports with the Secretary

to the Commission within 30 days of the close of each calendar quarter, beginning with the first quarter in which the Companies offer customers the option of an electronic DPA.

Credit/Debit Card Fees

Q. What is the Companies' proposal regarding the use of credit or debit cards?

A. The Companies propose that customers have the ability to pay their utility bill directly to the utility using credit or debit cards ("CC/DC"). Currently, customers may use a CC/DC to pay their utility bills in several ways, including on the National Grid website, the National Grid mobile app, by telephone, and customers enrolled in online billing may pay via an email link that will take them to a payment site. The additional cost for using a CC/DC for payment is currently $2.25 per transaction for payment amounts between $0.00-$600.00, and $4.50 for payment amounts between $600.01-$1,200.00. The Companies propose that the fees associated with a CC/DC payment option be included among the general costs of doing business, and that

those costs would be included in the revenue requirement resulting in a “no-fee” model.

Q. Do the Companies expect CC/DC payments to rise with the implementation of the “no-fee” model?

A. Yes. The Companies state that CC/DC payments continued to show growth from 2016 to 2017 by 10.1 percent, and that in response to surveys, customers have indicated a preference for CC/DC payments with no fee. Additionally, the Companies stated that based on an analysis involving National Grid’s third-party payment processor and the Companies’ current volumes of CC/DC payments, an increase of CC/DC payments of 53 percent is expected with the no-fee model in the Rate Year.

Q. What are the Companies’ proposed costs for this program?

A. As stated in the Companies’ Shared Services Panel direct testimony, the Rate Year costs would be $1.964 million for KEDNY and $0.625 million for KEDLI based on the existing per-transaction costs. The Companies propose to fully reconcile these costs.

Q. What are the Panel’s recommendations to the

Commission regarding the Companies' CC/DC proposal?

A. The Panel recommends that the Commission allow the Companies to accept CC/DC directly from customers for bill payment, under the condition that the per-transaction level does not exceed the current amount of $2.25 as described in the Companies' response to DPS-368. We also recommend the Commission impose a downward-only reconciliation, so the Companies are incentivized to keep these fees at a reasonable level in the Rate Year.

Q. Why is the Panel recommending this?

A. Staff recognizes that customers are increasingly using CC/DC to make purchases and that a per-transaction vendor fee to pay a utility bill is inconvenient to customers, as most businesses include this as a cost of doing business. However, the Panel is concerned that the transaction fees, once socialized in base rates, will heavily increase, as is the case at other New York utilities; therefore, we recommend the Commission direct the Companies to use its aggregate buying power to lower this per-

transaction amount to ensure that customers are protected.

Q. Does the Panel recommend any reporting requirements for this new program?

A. Yes, the Panel recommends that the Commission require the Companies to submit quarterly reports to the Secretary evaluating associated program fees and the per-transaction rate, as well as customer participation, in comparison with the Companies' other payment methods, such as walk-in offices, mail, direct debit and Western Union. In these reports, we recommend the Commission require the Companies to provide justification for any 10% increase in the budget.

Outreach & Education

Q. Did the Companies address outreach and education in testimony?

A. No, the Companies did not.

Q. Describe the Panel's proposal regarding outreach and education.

A. As discussed by the Staff Gas Rates Panel, the panel proposes to flatten the rate blocks for

firm customers, as such, we recommend the Commission require the Companies to conduct additional outreach and education to ensure customers are aware that higher gas usage may increase their monthly bill. This outreach should be in the form of bill inserts, website updates, and customer emails and/or letters/postcards.

Q. Does the Panel have additional recommendations?

A. Yes. We also recommend the Companies file their annual outreach and education plan electronically with the Secretary to the Commission under the generic outreach and education plan case, 17-M-0475, by April of each year. Filing this plan annually with the Secretary is consistent with other utilities and allows for review by the public and other officials.

Economic Development

Q. Briefly describe the Companies' Economic Development Grant Programs.

A. KEDNY and KEDLI currently offer eight economic development grant programs in their respective service territories that are designed to promote

economic development by, among other things, revitalizing communities, redeveloping underutilized buildings, growing the technology industry, promoting sustainable gas, and creating jobs.

Q. What are the Companies' current economic development programs?

A. The programs offered are the Cinderella Program, Infrastructure Assistance, Brownfield Redevelopment, Industrial Building Redevelopment, Sustainable Gas and Economic Development, Manufacturing Productivity, Cleantech Incubation, and Cooperative Business Recruitment. Full program descriptions and eligibility requirements can be found in the direct testimony of the Future of Heat Panel, and their Exhibit___(FOH-7).

Q. Do the Companies offer any tariffed rate discount incentives as a component of these programs?

A. Yes, KEDNY offers a Business Incentive Rate, or BIR; an Excelsior Jobs Program; and an Area Development Rate. KEDLI offers a BIR and an Excelsior Jobs Program.

Q. Please summarize the achieved benefits of the economic development rate and grant programs.

A. The Companies have approximately 175 customers currently receiving delivery rate discount benefits, totaling over $1 million annually. In the KEDNY and KEDLI territories, 35 applications have been approved for economic development grants of $3.1 million since 2017. The customers who received this funding have collectively created or retained 1,465 jobs. Additionally, the Companies estimate that the grant recipients have generated $186.6 million in capital investments. KEDNY and KEDLI have recently seen an increase in application activity in the grant programs among customers and local economic development agencies.

Q. What is the current level of funding for these programs?

A. The current level of funding for the economic development grant programs at each Company is $2 million per year for each Company.

Q. Have the Companies proposed any modifications to their economic development grant and rate programs?

A. Yes, the Companies have proposed modifications to several of their existing grant programs to make them more responsive to customer needs and more compatible with clean-energy initiatives. In addition, the Companies also proposed a new economic development grant program titled Economic Development and the Future of Heat. The Companies further proposed to make changes to their rate discount programs, including removing the targeted areas of KEDNY's Area Development Rate and replacing them with areas that better reflect the current economic development priorities and objectives of New York State. KEDLI is proposing to create a similar Area Development Rate which will target areas that have already been designated as economic development priorities through federal and state development programs. Lastly, the Companies propose that eligibility for the BIRs be broadened to include qualifying tenant businesses locating or expanding properties receiving benefits from an Industrial Development Agency.

Q. Have the Companies proposed any changes to the

current levels of funding for economic development?

A. Yes, as stated in direct testimony of the Future of Heat Panel, the Companies are both carrying unspent funds which, by the end of the current rate plan, are estimated to be $4.7 million for KEDNY and $5.2 million for KEDLI. Based on the level of underspent funds, the Companies propose to reduce the grant program funding to $0.50 million for each Company in the Rate Year. The Companies also propose to institute a deferral mechanism to reconcile discounts against targets established in rates for rate discount programs, which are provided in Exhibit___(FOH-14CU).

Q. Does the Panel have any concerns about the deferral mechanism proposed to reconcile discounts?

A. Yes. The Panel recommends the Commission reject the Companies' proposal for a deferral mechanism for those discounts. When considering a single rate-year, there is less financial risk involved in forecasting Economic Development discount program costs, as there is less time between when the forecast was made and when the

forecasted period occurs. As shown in Exhibit___(FOH-14CU), there have not been large fluctuations over the last several years in the discounts provided. Few fluctuations year over year reinforces the accuracy of the forecast, and therefore, no true-up of the economic development discount program is necessary.

Q. Does the Panel have any concerns about the proposed modifications to the grant programs?

A. No. We have reviewed the Companies' proposed changes and we agree that the Companies will expand the scope of eligible customers while focusing on energy efficiency and renewable natural gas. As proposed by the Companies, the eligibility guidelines for certain grant programs have been expanded to require that a project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated, and provide documentation pertaining to any completed or pending applications for energy efficiency incentives. Additionally, the Companies have proposed to give priority consideration during the grant award process to projects that commit to using

self-generated or purchased renewable natural gas to satisfy some or all of their supply requirements. None of the proposed changes to existing grant programs alter the grant amounts or change the primary focus of any specific program. The proposed new grant program, Economic Development and the Future of Heat, will require current and future customers to install non-pipeline alternatives to traditional gas service or emerging natural gas technology that will reduce burden on demand, and will also require applicants to create and/or maintain jobs. We agree that adding this program is appropriate as its goal is to reduce consumption of natural gas.

Q. Does the Panel have any concerns about the proposed modifications to the rate discount programs?

A. Yes. KEDLI's proposed Area Development Rate only includes new firm customers, which, due to the supply constraints that are discussed in the Staff Policy Panel's testimony, may no longer be provided natural gas service. Additionally, KEDLI's current BIR also only includes firm

customers. Therefore, to ensure that KEDLI's proposed Area Development Rates and currently existing BIR remain relevant, Staff recommends that KEDLI include non-firm customer classes to the list of eligible service classes. KEDNY already extends the BIR and Area Development Rate to non-firm customers.

Q. Does Staff have any proposed modifications to either the economic development grant programs or discount programs?

A. Yes. With the potential for supply constraints limiting the Companies' ability to provide service to new customers, we reviewed all aspects of the grant programs with consideration given to those constraints. While many of the programs will likely not be affected, as stated in the Companies' response to IR DPS-765, some programs target new customers and service upgrades and could experience significant reduction in participation. With that in mind, we considered options that would keep the economic development programs relevant and stay true to the goal of attracting new business, creating jobs and promoting economic growth. We

propose two options to accomplish these goals. The first option is to create a new grant program that would aid prospective customers or current customers seeking additional natural gas supply to become a non-firm customer. This would allow that customer to be approved for new gas service or upgraded gas service as a non-firm customer. Eligible customers can qualify for and receive assistance from more than one economic development grant program so creating a new program for the purpose of converting firm customers to non-firm would not prevent them from receiving any other economic development grant assistance that they may be eligible for. The second option would be to modify the existing programs that are pointed toward new customers or customers seeking a service upgrade for additional supply. The modifications to those programs would allow for additional grant money to be provided for the purpose of converting firm customers to non-firm. Both options would allow for all existing grant programs to stay intact and relevant. Based on the uncertainty of the level of participation in

either of these two options, Staff recommends the Commission not allow any additional funding above the Companies' requested $0.5 million for the creation and implementation of above proposed options.

Q. Describe the supply constraints.

A. The Northeast Supply Enhancement (NESE) Project and associated supply constraints are described in detail in the Staff Policy Panel's testimony.

Q. How does this affect economic development?

A. As stated, Staff has reviewed all existing grant and rate discount programs to ensure that focus was put on modifying programs to ensure they remain relevant moving forward in an environment of constrained natural gas supply in the KEDNY and KEDLI service territories. Our proposals bring uniformity to the rate discount programs by allowing non-firm customers across all territories to apply for the BIR and Area Development Rate. Also, in order to keep all existing grant programs intact, our proposal to provide grant assistance for customers to become non-firm will allow each individual grant program the opportunity to achieve its intended

goals.

Q. Does the Panel propose any reporting requirements?

A. Yes. We propose that the Companies file annual reports with the Secretary to the Commission. We propose the report detail the applications received, approved, grant money committed, grant money dispersed and the amount of reserve funds each calendar year beginning with the Rate Year. The Companies should also include a summary of the success of the propose Economic Development and the Future of Heat program, if approved by the Commission.

Q. Provide a summary of the Panel’s modifications and proposals.

A. We recommend the Commission deny the Companies’ proposal for instituting a deferral mechanism for reconciling the program discounts. We propose that the existing BIR and proposed Area Discount Rate for KEDLI be modified to include all non-firm non-residential service classes. Staff proposes that the Companies either create a new economic development grant program that would provide incentive for new customers, or

existing customers requesting a service upgrade to become non-firm customers. Or, that existing economic development programs be modified to include a provision for additional grant money within the recommended caps to assist new customers, or existing customer requesting a service upgrade to become non-firm customers. Finally, we propose an annual report of economic development activities be filed with the Secretary to the Commission 30 days following the end of each calendar year.

Q. Does this conclude the Panel's testimony?

A. Yes.